

Chapter Five: Public Finance, Zakat and Taxation in Islam

Dr. Md. Arif Billah¹

5.1 Concept of Public Finance

Public finance is the study of the role of the government in the economy. Public finance is the study of finance related to government entities. It revolves around the role of government income and expenditure in the economy.² “Public Finance is concerned with income and expenditure of public authorities and with the adjustment of one to the other”³

The Scope of Public Finance

1. Public Revenue
2. Public Expenditure
3. Public Debt
4. Financial Administration

1. Public Revenue

Public income/revenue refers to the income of the government. The government earns income in two ways – tax income and non-tax income. Tax income is easy to recognize, it's the tax paid by people of the country in the form of income tax, sales tax, duties, etc. On the other hand non-tax income includes interest income from lending money to other countries, rent & income from government properties, donations from world organizations, etc. This area studies methods of taxation, revenue classification, methods of increasing government revenue and its impact on the economy as a whole, etc.⁴

2. Public Expenditure

Public expenditure is the money spent by government entities. Logically, the government is going to spend money on infrastructure, defense, education, healthcare, etc. for the growth and welfare of the country. This area studies the objectives and classification of public expenditure, effects of expenditure in different areas, effects of public expenditure on various factors such as employment, production, growth, etc.⁵

2. Public Debt

When public expenditure exceeds public income, the gap is filled by borrowing money from the public, or from other countries or world organizations such as The World Bank. These borrowed funds are public debt.

3. Financial Administration

¹ Associate Professor of Economics under the Faculty of Shariah at IIUC & Research Associate at Islamic Economics Research Bureau of Bangladesh & Sub project Manager of Higher Education Acceleration and Transformation (HEAT) project at University Grant Commission (UGC) of Bangladesh.

² Gruber, Jonathan (2005). *Public Finance and Public Policy*. New York: Worth Publications. p. 2. ISBN 0-7167-8655-9

³ Jain, P C (1974). *The Economics of Public Finance*.

⁴ Hugh Dalton , *Principles of Public Finance*, Routledge; 1st edition (December 10, 2008,p 43

⁵ Robert Barro and Vittorio Grilli (1994), *European Macroeconomics*, Ch. 15–16. Macmillan, ISBN

As the name suggests this area of public finance is all about the administration of all public finance i.e. public income, public expenditure, and public debt. Financial administration includes preparation, passing, and implementation of government budget and various government policies. It also studies the policy impact on the social-economic environment, inter-governmental relationships, foreign relationships, etc.

5.2 Functions of Public Finance

There are three main functions of public finance as follows:⁶ –

1. Allocation Function
2. Distribution Function
3. Stabilization Function

Allocation Function

There are two types of goods in an economy – private goods and public goods. Private goods have a kind of exclusivity to themselves. Only those who pay for these goods can get the benefit of such goods, for example – a car. In contrast, public goods are non-exclusive. Everyone, regardless of paying or not, can benefit from public goods, for example – a road.

The allocation function deals with the allocation of such public goods. The government has to perform various functions such as maintaining law and order, defense against foreign attacks, providing healthcare and education, building infrastructure, etc. The list is endless. The performance of these functions requires large scale expenditure, and it is important to allocate the expenditure efficiently. The allocation function studies how to allocate public expenditure most efficiently to reap maximum benefits with the available public wealth.

1. Distribution Function

There are large disparities of income and wealth in every country in the world. These income inequalities plague society and increase the crime rate of the country. The distribution function of public finance is to lessen these inequalities as much as possible through redistribution of income and wealth.

In public finance, primarily three measures are outlined to achieve this target –

- A. A tax-transfer scheme or using progressive taxing, i.e. in simpler words charging higher tax from the rich and giving subsidies to the low-income
- B. Progressive taxes can be used to finance public services such as affordable housing, health care, etc.
- C. A higher tax can be applied to luxury goods or goods that are purchased by the high-income group, for example, higher taxes on luxury cars.

2. Stabilization Function

⁶ Oates, Wallace E. “The Theory of Public Finance in a Federal System.” *The Canadian Journal of Economics / Revue Canadienne D'Economique*, vol. 1, no. 1, 1968, pp. 37–54

Every economy goes through periods of booms and depression. It's the most normal and common business cycles that lead to this scenario. However, these periods cause instability in the economy. The objective of the stabilization function is to eliminate or at least reduce these business fluctuations and its impact on the economy. Policies such as deficit **budgeting** during the time of depression and surplus budgeting during the time of boom help achieve the required economic stability.⁷

5.3 Meaning of Public Revenue

The income of the government through all sources is called public income or public revenue. According to Dalton, however, the term "Public Income" has two senses — wide and narrow. In its wider sense it includes all the incomes or receipts which a public authority may secure during any period of time. In its narrow sense, however, it includes only those sources of income of the public authority which are ordinarily known as "revenue resources."

In a modern welfare state, public revenue is of two types, tax revenue and non-tax revenue.

5.4 Tax Revenue

A fund raised through the various taxes is referred to as tax revenue. Taxes are compulsory contributions imposed by the government on its citizens to meet its general expenses incurred for the common good, without any corresponding benefits to the tax payer. Seligman defines a tax thus: "A tax is a compulsory contribution from a person to the government to defray the expenses incurred in the common interest of all, without reference to specific benefits conferred."⁸

5.5 Features of Tax

The main features of tax are as follows:

1. A tax is a compulsory payment to be paid by the citizens who are liable to pay it.
2. There is no direct, quid pro quo between the tax-payers and the public authority.
3. A tax is levied to meet public spending incurred by the government in the general interest of the nation.
4. A tax is payable regularly and periodically as determined by the taxing authority.⁹

5.6 Objectives of Tax

Taxation may be used to achieve the following objectives:

- A. To put a curb on consumption and thus transfer resources from consumption to investment.
- B. To increase the incentives to save and invest;
- C. To transfer resources from the hands of the public to the hands of the government in order to make public investment possible.
- D. To modify the pattern of investment.
- E. To reduce economic inequalities; and above all.
- F. To mobilize economic surplus.

⁷ Gruber, J. (2010) Public Finance and Public Policy (Third Edition), Worth Publishers, Pg. 3, Part 1

⁸ C. E. Bohanon, J. B. Horowitz and J. E. McClure (September 2014). "[Saying Too Little, Too Late: Public Finance Textbooks and the Excess Burdens of Taxation](#)". *Econ Journal Watch*. 11 (3): 277–296. Retrieved November 6, 2014.

⁹ "[Public Finance](#)". Archived from [the original](#) on 2009-06-09. Retrieved 2010-04-13.

5.7 Importance of Taxation

We may discuss the role of taxation in economic development in the light of these objectives:

(i) Taxation is the most important instrument in curbing the increased demand for consumer goods generated by the development process.

(ii) Taxation should not merely aim at obtaining larger revenue but should also act as an incentive to save and invest

(iii) In an under-developed country, taxes are the most efficient way of transferring resources to the government for their more productive utilization.

(iv) Taxation should modify the pattern of investment in the economy. We have seen above that one of the functions of taxation in underdeveloped countries is to transfer resources from private sector to public sector

(v) One of the important objectives of taxation is to reduce the gap between the incomes of the rich and the poor. Reductions of inequalities of income and wealth require separate measures. Highly progressive taxation of total income tends to reduce the consumption

(vi) Taxation should mobilize economic surplus for development and continually enlarge its size.

5.8 Zakat and Conditions for Zakat to be obligatory on wealth

Zakat is a religious obligation, ordering all Muslims who meet the necessary criteria to donate a certain portion of wealth each year to charitable causes.

Zakat is obligatory if an individual possesses wealth to the value of the Nisab (minimum threshold). According to Sharia, such a person is deemed to be rich. Zakat is imposed by both the Qur'an and the Sunnah and the Prophet (peace be upon him) he listed Zakatable items and monetary rates to be charged on each of them.

- A. Complete ownership
- B. The wealth has the ability to grow and increase
- C. The wealth has reached the Nisab
- D. A whole lunar year passes after possessing the Nisab

5.9 The Purpose of Zakat

The basic objectives of paying Zakat are

- ❖ To create balance in the society and never let a poor and needy to suffer or die
- ❖ To maintain economic balance in society so that circulation of wealth continues from rich to poor and never stays in one hand.
- ❖ To overcome poverty and other social evils from our society
- ❖ To purify our wealth as it goes into the hands of rich to poor, stabilizes economic condition of the society and ensures that each person is benefitted from the wealth.
- ❖ The rich people have to pay zakat so that differences and gap between rich and poor is

reduced and this way we can guarantee human rights for all.

- ❖ The Zakat helps to shape the human character of the rich people as it saves them from greediness and selfishness and it establishes the concept of brotherhood and unity.

5.10 The Importance of Zakat

Poverty is one of the greatest drawbacks of our modern civilization. Poverty has always been widespread in the world. The Quran takes a closer look at poverty and has recommended several ways to reduce its suffering and grief in society. Charity can help remove the envy of the poor and instead cultivate a feeling of a fellowship from the recipients. Whenever possible, we are encouraged to do actions for the pleasure of Allah. There are two types of giving: one is Zakat and the other is Sadaqa. Zakat is obligatory and stands at a specific rate of 2.5% on all our properties that can be weighed, whereas Sadaqa has a wider meaning.

The vital importance of Zakat is reflected as the law of Allah: “My mercy encompasses all things, but I will specify it for the righteous who give Zakat.” (The Quran: verses: 7:156).

- A. **Purification:** Zakat purifies the possessions and the spirituality of one who gives it. It creates a sense of self-discipline and shows your obedience to Allah s.w.t.
- B. **Become Prosperous Muslims:** By giving Zakat a person shows that he is obeying the rules set by Allah s.w.t. His obedience brings him prosperity in both this world and the hereafter.
- C. **Closer to Allah s.w.t:** Giving Zakat brings you closer to your God and increases your faith in Him.
- D. **Rewarded by Allah s.w.t:** The Prophet (pbuh) said: “Whoever gives away charity the size of a date, which is earned lawfully, since Allah only accepts the good lawful things, Allah will indeed take it with His right hand and cause it to grow for its owner, just as one of you raises up his colt, to the point that the charity will become like the size of a mountain.” [Reported by Al-Bukhari and Muslim]
- E. **Sins are wiped away:** The Prophet (pbuh) said: “Giving charity wipes away sins just as water extinguishes fire.” The word charity (sadaqah) here refers to the Zakat as well as the supererogatory form of charity.

5.11 Nisab

Nisab is the minimum amount that a Muslim must have before being obliged to Zakat.

The Nisab was set by Prophet Muhammad (SAW) at a rate equivalent to: 87.48 grams of gold and 612.36 grams of silver.

As we no longer use silver or gold as currency, you need to find out the equivalent monetary exchange value of the rates the Prophet Muhammad (SAW) set in your local currency. You can do this by checking the market rate of gold and silver.

The two values used to calculate the Nisab threshold are **gold and silver**. In the Hanafi madhab, the value of silver is used to ascertain the nisab threshold and eligibility to pay Zakat. The other madhabs use the value of gold.

Which assets are subject to Zakat?

In short, the following assets are subject to Zakat:

Items of Assets on which Zakat is payable	Nisab	Rates
Cash in hand	Value of 7.5 tolas of gold/52.5 tolas of silver	2.5%
Gold and Silver	7.5 tolas of gold/52.5 tolas of silver	2.5%
Trading Goods	7.5 tolas of gold/52.5 tolas of silver	2.5%
Domestic animals	Cows/Buffaloes (30 numbers/minimum Goats and sheep's (40 no./ min) Camels/Horses (5 no./min)	1 of one-year age in every category
Agricultural Products	5 wasaq	1/10% and 1/5%
Products of Mines	Any amount	20%

5.12 Recipients of Zakat

Whether it is zakat of sharia or zakat of dignity, the category of people who deserve it remains the same. The recipients of zakat are known as masaraf of zakat. Hence, masarif e zakat in english means those who should be given zakat or sadaqah in any form.

Allah has clearly mentioned the musarf e zakat and sadaqah in Quran in these words:

إِنَّمَا الصَّدَقَتُ لِلْفُقَرَاءِ وَالْمَسْكِينِ وَالْعَمِلِينَ عَلَيْهَا وَالْمُؤَلَّفَةِ قُلُوبُهُمْ وَفِي الرِّقَابِ وَالْغَارِمِينَ وَفِي سَبِيلِ اللَّهِ وَابْنِ السَّبِيلِ ۖ قَرِيبَةً مِّنَ اللَّهِ ط وَاللَّهُ عَلِيمٌ حَكِيمٌ

Meaning: “Indeed sadaqah is for Fakirs, *Masakeen* and for *Amileen* (those deployed to collect zakat), those in whose hearts the inculcation of love for Islam is aimed at, and to free the captives and remove the burden of debtors and (those who toil hard) in the way of Allah and for the wayfarers. This has been prescribed by Allah. Allah, the All-Knower, the Most Wise.”(9:60)

Among the questions regarding zakat, perhaps the most common one is that how many masarif e zakat in Quran are mentioned. Hence, the above verse clearly names the eight categories of people who are entitled to receive sadaqah and zakat. Among them, Fakirs are the foremost. To understand more, we begin by describing each of them separately:

The alms are only for the poor or needy; and the destitute; and those employed to collect Zakat; and to attract the hearts of those who have been inclined towards Islam; and to free the captives; and for those in debt; and for Allah's Cause; and for the wayfarer, a traveler who is cut off from everything; a duty imposed by Allah. And Allah is All-Knower, All-Wise.” [Al-Quran 9:60]

According to the Holy Quran, a Muslim should give Zakat to the following types of people:

- A. **Fuqara'**. Translated as the 'poor' or 'needy', these people have some money, but not sufficient for their everyday needs.
- B. **Al-Masakin**. Translated as the 'destitute', these are people of extreme poverty who possess no wealth at all, and need asking others for food, clothing and shelter.
- C. **'Amil**. These are people appointed by an Islamic Head of State or Government to collect Zakat. The authority gives them a fee for their work, which includes collecting, recording, guarding, dividing and distributing Zakat.
- D. **Mu'allaf**. These are people who have just become Muslim, or those whose circumstances are so desperate they fear turning to crime if they are not helpful.
- E. **Ar-Riqaab**. These are slaves whose masters have agreed to set them free on a payment of a fixed amount. Zakat may be used to purchase their freedom.
- F. **Ibnus-Sabeel**. Translated as the 'wayfarers', these are travellers stranded in a foreign land in need of money. These people can receive Zakat if the purpose for travelling is lawful.
- G. **Al Ghaarimeen**. These are the debtors, people burdened by debts because of personal needs or social necessity. These people are given Zakat if they do not have enough money beyond their basic needs to repay debts. Help is also provided to those who may have landed themselves in debt as a result of social obligations such as supporting an orphan or renovating a school. *It is conditional that the debts were not created for any un-Islamic or sinful purpose.*
- H. **Fi Sabeelillah**. These are people who are away from home in the path of Allah. Those in Jihaad, those seeking knowledge or a stranded in Hajj, may be assisted with Zakat when in need.

5.13 Social Impact of Zakat

Islam concentrates on the reform of individuals, who are constituents of a society. Usually all the Islamic commands start from the individual and travel to the establishment of an ideal community of the people. It is quite a natural process of positive change. Zakat, in the same way at first builds character of an individual and then brings a lot of impacts to the society.

Individual Impact

1. **Generosity**: Man is naturally greedy and his thirst for more and more material gains never satisfies. Zakat is a sort of journey from inside to the outside. He learns to come out of the race of personal interests and think for other human beings. He extends financial help to the poor and the needy. It cleanses an individual from avarice, selfishness and miserliness.
2. **Sincerity of Faith**: Zakat is also called "Sadaqa" which is derived from "Sidq" which means truth. Proper calculation of assets and capital for the sake of excluding prescribed amount for the poor and the needy, is an ample proof of the individual's sincerity of faith. It also shows his complete submission to the will of almighty Allah.
3. **Self-Purification**: Zakat, on one hand, purifies the individual who gives Zakat from selfishness and indifference, while, on the other, it purifies those who receive Zakat from the feelings of hatred against the wealthy people. Thus, it creates love for others in the individual and saves him from self-indulgence and ego-centricity.
4. **Special financial Aid**: Zakat is distinct in all other forms of charity in contemporary society, as it also seeks to relieve an insolvent from his unsettled debts. It also provides necessary financial aid for the wayfarer who unexpectedly faces financial risk regardless of being rich or poor.

5.14 Collective Impact

As usually all the Islamic commands start from the individual and travels to the establishment of an ideal community of the people. Zakat, in the same way at first builds character of an individual and then brings a lot of impacts to the society. The collective impacts of Zakat are as follows: -

1. Social Harmony and Justice Zakat bridges the gulf between the haves and the have-nots. In capitalistic economies, we see that the wealth accumulates into a few hands and the condition of the poor further deteriorates. One of the purposes of Zakat is to avoid such social disparity.
2. Social Security Zakat functions as a social security for all. Those who have enough money today pay for what they have. If they need money tomorrow, they will get what is necessary to help them live decently.
3. Best Check against hoarding Zakat is not levied on the income rather on the savings and hoarded items. So, the person who pays Zakat every year, prefers to invest his wealth and get it increased, lest it should dwindle year after year. In this way, the literal meaning of Zakat ie 'Growth' materializes.
4. Circulation of Wealth Zakat keeps wealth in circulation and thus it benefits the whole society. The holy Prophet (SAW) advised his companion Mua'az bin Jabal, while he was proceeding to Yaman "to teach them that Allah has made it obligatory for them to pay the Zakat from their property and it is to be taken from the wealthy among them and given to the poor" (16) Thus Zakat helps a lot in decreasing poverty.
5. Promoting self-respect Zakat is obligatory on the wealthy people. If they pay Zakat, they are just performing their duty assigned by almighty Allah. They are not doing any favor on the poor and the destitute
6. Discouraging Beggary If everyone pays Zakat from among the haves, no poor and the unfortunate would have to resort to begging. Now-a-days, we find beggary as a menace facing many societies. Islam on one hand, ordered the affluent to care about the destitute and, on the other, prohibited the poor and the needy from stretching hands before others. Narrates Abu Huraira (RA) that the holy Prophet said: - "Whoever begs from people so as to accumulate more riches, he is asking for a live coal (fire) from Hell, so let him ask for a lot or little
7. Peace and Prosperity Zakat ensures social justice by bringing financial balance among various strata of society. It decreases the crime rate and terrorist inclinations among the society. Thus, the whole society strives together and achieves development and prosperity. Equal distribution of wealth curtails the rate of unemployment and reduces chances of economic recession.

5.15 Meaning of Public Revenue

The income of the government through all sources is called public income or public revenue.

Sources of Revenue

- Zakat

- Zizya
- Kharaz
- Ganimah
- Fay
- Tax
- Custom duties

Tax Revenue

A fund raised through the various taxes is referred to as tax revenue. Taxes are compulsory contributions imposed by the government on its citizens to meet its general expenses incurred for the common good, without any corresponding benefits to the tax payer. As Taussig puts it, “the essence of a tax, as distinguished from other charges by government, is the absence of a direct quid pro quo between the tax payer and the public authority.”

The main characteristic features of a tax are as follows

1. A tax is a compulsory payment to be paid by the citizens who are liable to pay it. Hence, refusal to pay a tax is a punishable offence.
2. There is no direct, quid pro quo between the tax-payers and the public authority. In other words, the tax payer cannot claim reciprocal benefits against the taxes paid.
3. A tax is levied to meet public spending incurred by the government in the general interest of the nation. It is a payment for an indirect service to be made by the government to the community as a whole.
4. A tax is payable regularly and periodically as determined by the taxing authority.

5.16 Meaning of Fiscal policy

Fiscal policy means the use of taxation and public expenditure by the government for stabilization or growth. According to Culbertson, “By fiscal policy we refer to government actions affecting its receipts and expenditures which we ordinarily taken as measured by the government’s receipts, its surplus or deficit.” The government may offset undesirable variations in private consumption and investment by compensatory variations of public expenditures and taxes

5.17 Objectives of Fiscal Policy

Generally following are the objectives of a fiscal policy in a developing economy

1. Full employment
2. Price stability
3. Accelerating the rate of economic development
4. Optimum allocation of resources
5. Equitable distribution of income and wealth
6. Economic stability

5.18 Importance of Public Expenditure

i. Economic Development

Public expenditure has the expansionary effect on the growth of national income, employment opportunities, etc. Economic development also requires development of economic infrastructures. A developing country like India must undertake various projects, like road-bridge-dam construction, power plants, transport and communications, etc.

ii. Fiscal Policy Instrument

Public expenditure is considered as an important tool of fiscal policy. Public expenditure creates and increases the scope of employment opportunities during depression. Thus, public expenditure can prevent periodic cyclical fluctuations. During depression, it is recommended that there should be more and more governmental expenditures on the ground that it creates jobs and incomes.

iii. Redistribution of Income

Public expenditure is used as a powerful fiscal instrument to bring about an equitable distribution of income and wealth. There are good much public expenditure that benefit poor income groups. By providing subsidies, free education and health care facilities to the poor people, government can improve the economic position of these people.

iv. Balanced Regional Growth

Public expenditure can correct regional disparities. By diverting resources in backward regions, government can bring about all-round development there so as to compete with the advanced regions of the country.

5.19 Principles of Public Expenditure

Just as there are well-known principles or canons of taxation, similarly it is possible to formulate some principles to which prudent public expenditure should conform.

1. Economic Development

A developing country like India must undertake various projects such as road and bridge construction irrigation dam power plants and so on. These constitute infrastructure of the economy or social overhead capital and are of vital importance for accelerating the pace of economic development.

2. Fiscal Policy

Public expenditure is justified on the ground that it creates jobs and incomes during depression and unemployment. This is why Keynes advocated the policy of increasing public expenditure for creating effective demand and thus helping the economy to face the Son. Such variation in public expenditure is necessary to control business cycles. In other words, variation of public expenditure is a part of the anti-cyclical fiscal policy

3. Maximum Social Advantage

One of the objectives of a modern government is to achieve the social goal of income equality. For this, it is necessary to reduce poverty and inequality. This is why the government transfers income or purchasing power from one section of society to another through various tax-subsidy measures.

4. Economy

It may also be noted, in this context, that it is not just the amount of public expenditure that is incurred which is of importance to the economy. What is equally, if not more, important is the purpose of such expenditure. The use or purpose of such expenditure determines the adequacy and effectiveness of such expenditure. Excessive expenditure may cause inflation.

5. Avoidance of Harmful Effect

Finally, it is of considerable importance to ensure that government expenditure does not have any injurious effect on production and distribution. It is equally vital to ensure that the government expenditure is solely in the public interest and does not serve any private interest or that of any group of persons.

1. Principle of Maximum Social Benefit
2. Canon of Economy
3. Canon of Sanction
4. Canon of Elasticity
5. No Adverse Influence on Production or Distribution
6. Principle of Surplus

5.20 Meaning of Fiscal Policy

Fiscal policy means the use of taxation and public expenditure by the government for stabilization or growth. According to Culbertson, "By fiscal policy we refer to government actions affecting its receipts and expenditures which we ordinarily taken as measured by the government's receipts, its surplus or deficit." The government may offset undesirable variations in private consumption and investment by compensatory variations of public expenditures and taxes

5.21 Roles of Fiscal Policy

Fiscal policy plays a dynamic role in underdeveloped countries. The role of fiscal policy in advanced economies is to stabilize the rate of growth. In the context of an underdeveloped economy, the role of fiscal policy is to accelerate the rate of capital formation. It is designed as an instrument of economic development. In the Keynesian analysis, fiscal measures are used to reduce savings and raise the propensity to consume. In fact, an extensive use of fiscal policy is indispensable for economic development. Fiscal policy also plays a significant role in the development plans of underdeveloped countries. Under planning, a balance has to be achieved both in real and money terms. In other words, a physical plan has to be matched by a financial plan. "The implementation of the financial plan and the achievement of balances in *real* and money terms obviously will have to rely largely on fiscal measures."¹⁰

5.22 Objectives of Fiscal Policy

Fiscal policy as a means of promoting economic development aims at achieving the following objectives:¹¹

¹⁰. Raja J. Chelliah, Fiscal Policy in Underdeveloped Countries.

¹¹The UN Report on 'Methods of Financing Economic Development in Underdeveloped Countries'.

1. To Increase the Rate of Investment. Fiscal policy aims at the promotion and acceleration of the rate of investment in the private and public sectors of the economy.

2. To Encourage Socially Optimal Investment. Fiscal policy should encourage the flow of investment into those channels which are considered socially desirable.

3. To Increase Employment Opportunities. Fiscal policy should aim at increasing employment opportunities and reducing unemployment and underemployment. For this, the state expenditure should be directed towards providing social and economic overheads. Such expenditures create more employment and increase the productive efficiency of the economy in the long-run.

4. To Promote Economic Stability in the Face of International Instability. Fiscal policy should promote the maintenance of reasonable economic stability in the face of short-run international cyclical fluctuations. An underdeveloped country is prone to the effects of international cyclical fluctuations due to the very nature of its economy.

5. To Counteract Inflation. Fiscal policy should aim at counteracting inflationary tendencies inherent in a developing economy. In such an economy, there is always an imbalance between the demand for and supply of real resources.

6. To Increase and Redistribute National Income. Lastly, fiscal policy should increase national income and redistribute it in such a manner that the extreme inequalities of income and wealth are reduced in the economy. The importance of removing these inequalities of income and wealth can hardly be exaggerated.

7. Optimum allocation of economic resources. The aim is that fiscal policy should be so framed as to increase the efficiency of productive resources.

8. Achievement of Full Employment. The most important objective of fiscal policy is the achievement and maintenance of full employment because through it most other objectives are automatically achieved.

5.23 Budgetary Policy—Contra-cyclical Fiscal Policy

The budget is the principal instrument of fiscal policy. Budgetary policy exercises control over size and relationship of government receipts and expenditures. We discuss below the common budgetary policies that can be adopted for stabilizing the economy.

(1) Budget Deficit—Fiscal Policy during Depression

Deficit budgeting is an important method of overcoming depression. When government expenditures exceed receipts, larger amounts are put into the stream of national income than they are withdrawn. The deficit represents the net expenditure of the government which increases national income by the multiplier times the increase in net expenditure

(2) Surplus Budget—Fiscal Policy during Boom:

Surplus in the budget occurs when the government revenues exceed expenditures. The policy of surplus budget is followed to control inflationary pressures within the economy. It may be through increase in taxation or reduction in government expenditure or both. This will tend to reduce income and aggregate demand by the multiplier times the reduction in government or/and private consumption expenditure (as a result of increased taxes).

(3) Balanced Budget:

Another expansionist fiscal policy is the balanced budget. In this policy the increase in taxes (ΔT) and in government expenditure (ΔG) are of an equal amount. This has the impact of increasing net national income. This is because the reduction in consumption resulting from the tax is not equal to the government expenditure

5.24 Instruments of Fiscal Policy

a) Taxation policy

The government collects large funds from the public by way of taxes. Aggregate can be influenced by taxes. There are various kinds of taxes broadly classified as direct and indirect tax. Fall in taxation leads to increase national income. Rise in taxation leads to decrease in national income.

b) Government Expenditure policy

Aggregate demand is influenced by government expenditure also. On account of the increase in public (government) expenditure, there is an increase in aggregate demand and vice versa.

c) Public expenditure can be of two types

i) Public expenditure incurred to buy goods and services. It has a direct effect on aggregate demand.

ii) Public expenditure can also be incurred without buying goods and services, e.g. Expenditure made on pensions, scholarship, education, medical facilities, etc., by the government. Such expenditure is called Transfer payment.

Transfer payments have an indirect effect on aggregate demand. Aggregate demand increases when there is an increase in transfer payments.

c) Deficit Financing

It refers to the financing of the deficit of the government budget. When the government meets its budgetary deficit by borrowing from the central bank it is called 'Deficit financing'.

As a result of deficit financing, the income of the people goes up along with its, aggregate demand also goes up.

5.25 Limitations

Fiscal Policy and Stabilization

Economic stability refers to the minimum possible changes in the internal price level and foreign

exchange rate. Fiscal policy can help to achieve economic stabilization in the following ways –

1) Fiscal Policy and Inflation

a) Decrease in Public Expenditure

One of the main causes of inflation is the increase in government expenditure. It is, therefore, necessary to curb inflation government should reduce its unnecessary expenditure.

b) Increase in taxes. To check inflation, the government should levy new taxes and raise the rate of old ones.

c) Delay in the Payment of Old Debts. Another way of checking inflation is to defer the repayment of old debts. It will restrict the current flow of money in the economy.

d) Surplus Budget Policy. It implies that the expenditure of the government should be less than its revenue. It will help check inflation. People will have less purchasing power when the revenue of the government is more than its expenditure.

2) Fiscal Policy and Deflation

a) Increase in Government Expenditure

Under the deflationary situation government (public) expenditure must increase. As a result of it, demand will increase. Increase in demand will check the tendency of the prices to fall.

b) Decrease in Taxes

During the depression, taxes should be decreased. As a result of a decrease in direct taxes like- Income Tax, Corporation tax, investors and rich section of the society will promote to invest more.

As a result, aggregate demand will increase and depression be brought under check.

c) Price Support Policy

During the depression, prices fall heavily. Government, therefore, has to pursue price support policy.

During this period, the government buy itself stocks of essential goods at a fixed price, called support price. As a result of this, the tendency of the falling price is arrested.

5.26 Limitations of Fiscal Policy

a) Limited scope

Fiscal policy has its effects only on limited sectors. Most of the sectors in the economy remain unaffected by it.

For example, in India burden of taxation is borne by urban Sector, agriculture sector enjoy exemption from it.

b) Delay of Decision

In democratic countries, the decision regarding fiscal measures must have the prior approval of the Legislative Assemblies of the Parliament. It is a long and time-consuming process.

Hence, fiscal policy decisions are delayed. Besides, there is a time lag between the enforcement of fiscal policy and its effect on output.

c) Non-Monetized Sector

A part of the economy is non-monetized. These sectors of the economy remain unaffected by the fiscal policy.

d) Lack of elasticity

The taxation system of underdeveloped countries is not modern, rational and elastic. It is difficult to earn adequate revenue by way of taxes in these economies.

A very small fraction of the population is covered by the tax net.

e) Problems of Deficit Financing

Most of the governments, in underdeveloped countries, resort to large scale deficit financing as a fiscal measure for economic development.

Deficit financing, beyond a particular limit, becomes a potent source of inflation. It has an adverse effect on economic development.

f) Illiteracy

Because of rampant illiteracy in underdeveloped countries, most of the people fail to appreciate the significance of fiscal policy. They try their best to avoid taxes.

Chapter Six: Theory of Market in Islam

6.1 Market

Markets in the most literal and immediate sense are places in which things are bought and sold. In the modern industrial system, however, the market is not a place; it has expanded to include the whole geographical area in which sellers compete with each other for customers. A market is a place or system where buyers and sellers come together to exchange goods, services, or resources.

Economists understand by the term Market, not any particular market place in which things are bought and sold, but the whole of any region in which buyers and sellers are in such free intercourse with one another that the prices of the same goods tend to equality easily and quickly.

6.2 Market Structure

Market structure refers to the organizational characteristics of a market. It basically defines how a market is set up and operates. Understanding the concept of a market is crucial as it determines the level of competition within a market, which in turn affects pricing, product differentiation, and overall market dynamics.

6.3 Factors Influencing Market Structure

Several factors influence market structure. These include:

1. **Number of Firms:** The number of firms operating within a market plays a significant role in determining its structure. Markets can range from having just a few dominant firms (oligopoly) to many small firms (perfect competition).
2. **Entry Barriers:** Entry barriers refer to obstacles that make it difficult for new firms to enter a particular market. High entry barriers, such as high capital requirements or strict regulations, tend to result in fewer competitors and more concentrated markets.
3. **Product Differentiation:** The extent to which products are differentiated or similar within a market also impacts its structure. Markets with highly differentiated products (such as luxury goods) often have fewer competitors compared to markets with homogeneous products (such as basic commodities).

6.4 Importance of Identifying Market Structure

Identifying the correct market structure is essential for effective decision-making by businesses and policymakers alike. Here's why:

1. **Pricing Strategies:** Different market structures require different pricing strategies. For example, in perfectly competitive markets, businesses must accept the prevailing price determined by supply and demand forces, while firms operating in monopolistic or oligopolistic markets have more control over pricing decisions.
2. **Competition Analysis:** Understanding the level of competition helps businesses analyze their competitive position within the market and devise appropriate strategies accordingly.
3. **Regulatory Policies:** Policymakers need to identify the existing market structure accurately to determine if any regulatory intervention is necessary to promote fair competition or protect consumer interests.

6.5 Types of Market Structures

In the world of economics, markets come in various forms. Let's explore the main types and get a better understanding of each one.

6.5.1. Perfect Competition Market

In perfect competition, there are many small firms selling identical products. There are no barriers to entry or exit, meaning new businesses can easily enter the market or leave if they choose to do so. Because there are numerous sellers offering the same goods, competition is fierce and prices tend to be driven down.

Note that perfect competition is a hypothetical situation that cannot possibly exist in a market. However, perfect competition is used as a base to compare with other forms of market structure.

6.5.2 Features of Perfect Competition Market

The main features of perfect competition are as follows:

- **Many Buyers and Sellers** – There will always be a huge number of buyers and sellers in this form of marketplace. The advantage of having a large number of small-sized producers is that they cannot combine to influence the market price. If the quantity offered by an individual seller is very small compared to the total market produce, they cannot influence the market price independently.

Similarly, if there are many buyers, then an individual will not have the power to dictate conditions to the market or influence the price by altering demand for a product. The individual demand will not be large enough to change the price.

- **Homogeneity** – The product or service produced by the buyers in a perfectly competitive market should be homogenous in all respects. There should be no differentiation between them in terms of quantity, size, taste, etc., so that the products are perfect substitutes for each other. If a seller tries to charge a higher price for products that are so similar, they will lose their customers immediately.
- **Free Entry and Exit** – Another condition of a perfectly competitive market is that no artificial restrictions prevent a firm's entry, or compel an existing firm to stay put when they want to leave. Their decision to enter, stay or leave the market depends purely on economic factors.
- **Perfect Knowledge** – The buyers and sellers have perfect knowledge about the market conditions. The buyers are aware of the details of the product sold as well as its price. At the same time, the sellers know about the potential sales of their products at different price points. Since the buyers are already informed about the product, there is no need for advertising or sales promotion. So firms don't have to invest a single penny in these activities. It also helps sellers save on advertising or other marketing activities, which keeps the price of their products low.
- **Mobility of Factors of Production** – The factors of production like labour, raw materials and capital should have total mobility under perfect competition. The labour should have the freedom to move from one place (industry, market or production unit) to another depending on their remuneration. Even the raw materials and capital should not have any restrictions in movement.

6.5.3 Advantages of Perfectly Competitive Market

- The perfect competition represents an ideal market structure in theory, emphasizing consumer-centric dynamics where consumers have easy access to substitute products and sellers.
- Consumers wield significant influence since seller's lack pricing control; prices are solely determined by supply and demand, minimizing the chance of consumer exploitation.
- Products in perfectly competitive markets maintain consistent quality and pricing across locations, ensuring standardization for consumers.
- Low startup, production, and marketing costs make market entry and operation feasible for sellers, fostering a competitive environment.

6.5.4 Disadvantages of Perfectly Competitive Market

- Perfect competition remains largely theoretical, rarely existing in reality, making it an

impractical concept in the real market scenario.

- Sellers are constrained from adding value to their products, as price determination is solely reliant on supply and demand. Attempts to enhance products may raise costs without increasing revenue, leading to reduced profit margins.
- Intense competition prevails due to low entry barriers, allowing new players to enter the market freely. However, established sellers hold an advantage, having built reputation and goodwill, often making it difficult for new entrants to survive.

6.5.5 Monopoly Market

A monopoly is a market structure with a single seller or producer that assumes a dominant position in an industry or a sector. Monopolies are discouraged in free-market economies because they stifle competition, limit consumer substitutes, and thus, limit consumer choice. A monopoly is characterized by a single company supplying a good or service, a lack of competition within the market, and no similar substitutes for the product being sold. Monopolies can dictate price changes and create barriers for competitors to enter the marketplace.

6.5.6 Types of Monopoly Market

The Pure Monopoly

A pure monopoly is a single seller in a market or sector and high barriers to entry, such as significant startup costs. There are no substitutes for the product sold by the seller. Microsoft Corporation was the first company to hold a pure monopoly position on personal computer operating systems. As of April 2024, its desktop Windows software still held a market share of more than 73%.¹

Monopolistic Competition

Multiple sellers in an industry sector with similar substitutes are defined as having monopolistic competition. Barriers to entry are low, and the competing companies differentiate themselves through pricing and marketing efforts.

Their offerings are not perfect substitutes, as with Visa and MasterCard. Other examples of monopolistic competition include retail stores, restaurants, and hair salons.

Features of a Monopoly Market

1. Single Seller: Under Monopoly, there is only one seller selling the product in the market. It means that the monopoly firm and the industry are the same in this form of market. As there is one seller, the monopolist has full control over the price and supply of the product. Whereas, the number of buyers in a Monopoly market is large, which means that no single buyer can influence the price of a product in the market.

2. No Close Substitutes: As there is a single seller selling the product under a monopoly market, there are no close substitutes for the same. Therefore, a monopoly firm has no fear of competition from other firms, either new or existing ones. For example, Bangladesh Railways has no close substitute for transportation services. However, there are other distant services like metro, etc.

3. Price Differentiation: As a monopolist is a single seller in the market, he/she can charge different prices at the same time from a different set of consumers, which is also known as Price Differentiation.

Charging different prices from different consumers for the same product at the same time is known as Price Differentiation.

The three types of Price Discrimination are: Personal Price Differentiation, Place Price Differentiation, and Use Price Differentiation.

Personal Price Differentiation: When Differentiation he seller charges different prices for the same product from different kinds of buyers, it is known as Personal Price Discrimination. For example, a doctor charges less from poor people and more from rich, railways charges less from senior citizens and more from young citizens.

Place Price Differentiation: When the seller charges a different price for the same product at different places, it is known as Place Price Discrimination. For example, the money charged for electricity in rural areas is less than the money charged per unit in urban areas.

Use Price Differentiation: When the seller charges a different price for the same product based on its uses, it is known as Use Price Discriminations. For example, electricity charges per unit for a commercial purpose is different from the charges per unit for residential purpose.

4. Restrictions on Entry and Exit: Under a Monopoly market, there are strong restrictions/barriers on the entry of new firms and exit of the existing firms. It means that a monopoly firm can earn abnormal losses and profits in the long run. One of the reasons behind the barriers may be legal restrictions, like licensing, patent rights, etc., or it might be due to the restrictions in the form of cartels created by the firms.

5. Price Maker: As there is only one seller under the monopoly market, and the firm and the industry are the same things, the seller has a complete control over the price of the product. Being a sole seller, the monopolist can influence the supply of goods in the market and can fix the price on their own.

6.5.7 Reasons for Emergence of Monopoly

The basic cause of the existence of monopoly is the barrier of entry into the market. Various other reasons for the emergence of Monopoly are as follows:

1. Government Licensing: Before entering into an industry, a firm has to take permission from the government and obtain a license for the same. Licensing helps a firm in ensuring minimum standards of competency. Therefore, sometimes government does not grant the license to the new firms so they can make sure that only one firm runs in the market.

2. Patent Rights: Many big private companies perform Research and Development activities at their own risk and sometimes if the R&D gets successful, they come up with a new product or technology. For the risk, they have taken in R&D, the government as a reward grants them patent

rights. A patent right is the right granted by the government to a firm or manufacturer to use or sell their invention for a certain period of time. The period for which patent rights are granted to the firms or manufacturers is known as patent life.

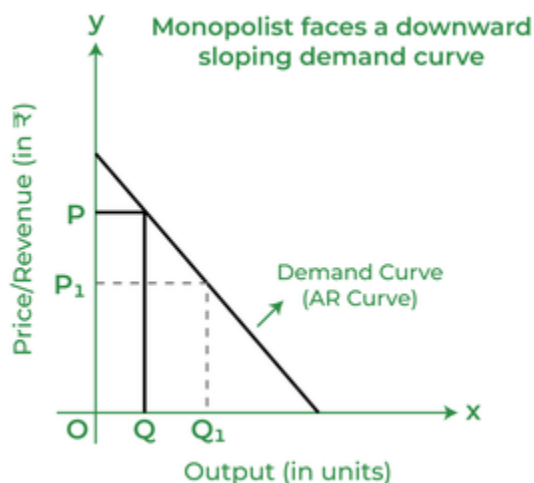
3. Control on Raw Materials: Another reason for the emergence of Monopoly is sole ownership or control of the essential raw materials required in a specific industry. For example, De Beers control a large percentage of the world's production of diamonds and can therefore influence the market.

4. Cartel: Some firms use cartels to retain their individuality and coordinate their output and pricing policies so they can act as a monopoly. They also agree among themselves to restrict their total output up to the level at which they can maximize their joint profits. One of the most famous examples of a cartel in monopoly is OPEC (Organization of Petroleum Exporting Countries).

A **Cartel** is an organization or a group of producers of goods and suppliers of services formed with a formal agreement among them for the regulation of supply to manipulate or regulate the price of goods or services.

6.5.8 Demand Curve under Monopoly

As there is a single seller or firm in the monopoly market selling products with no close substitute, a monopoly firm is like an industry. It gives the monopolist, full freedom and power to fix the price of their product. However, a monopoly firm cannot control the demand for a product. Therefore, if the firm wants to increase the number of goods to be sold in the market, it has to reduce the price of the product. Hence, the demand curve of a monopoly firm is downward sloping. This concept can be understood with the help of a demand curve.



In the above demand curve of a monopoly firm, the output of the product is measured along the X-axis and the price and revenue of the firm is measured along the Y-axis. At OP price, the firm can sell OQ quantity of the product, and the demand will rise to OQ₁ if the firm reduces the price to OP₁. Therefore, the demand curve under a monopoly market has a negative slope as a firm can sell more quantity at a lower price.

A monopoly firm can increase the demand for its product in the market only if it reduces its price, which results in a downward sloping demand curve. Because of this reason, the revenue generated by the monopoly firm from every extra unit, also known as **MR**, is less than the price of the product, also known as **AR**.

Therefore, under Monopoly firm, $MR < AR$.

6.5.9 Equilibrium in Monopoly

The conditions for Equilibrium in Monopoly are the same as those under perfect competition. The marginal cost (MC) is equal to the marginal revenue (MR) and the MC curve cuts the MR curve from below. In this article, we will understand Equilibrium in Monopoly in detail.

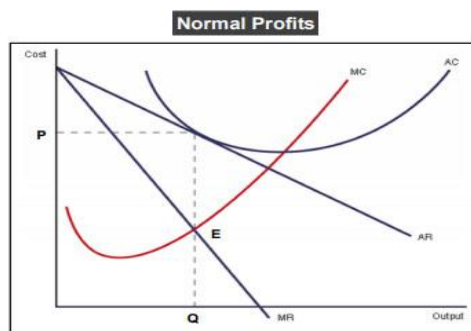
A Firm's Short-Run Equilibrium in Monopoly

Like in perfect competition, there are three possibilities for a firm's Equilibrium in Monopoly. These are:

1. The firm earns normal profits – If the average cost = the average revenue.
2. It earns super-normal profits – If the average cost < the average revenue.
3. It incurs losses – If the average cost > the average revenue.

Normal Profits

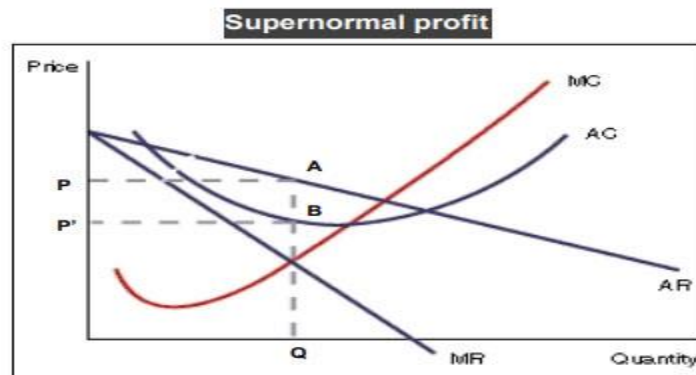
A firm earns normal profits when the average cost of production is equal to the average revenue for the corresponding output.



In the figure above, you can see that the MC curve cuts the MR curve at the equilibrium point E. Also, the AC curve touches the AR curve at a point corresponding to the same point. Therefore, the firm earns normal profits.

Super-normal Profits

A firm earns super-normal profits when the average cost of production is less than the average revenue for the corresponding output.



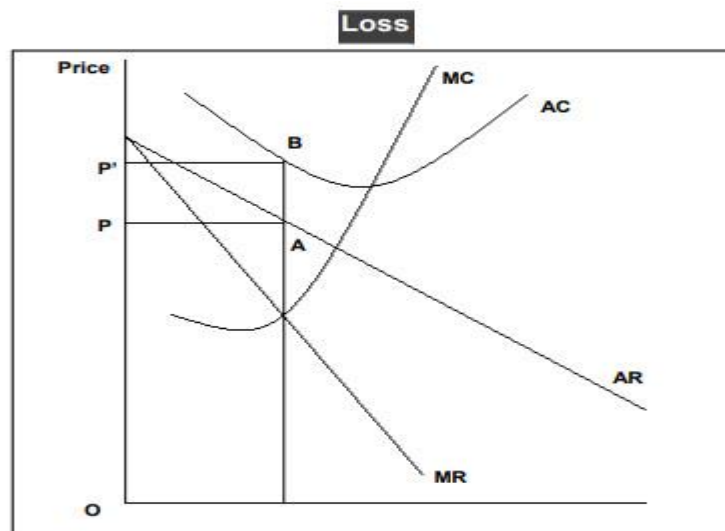
In the figure above, you can see that the price per unit = $OP = QA$. Also, the cost per unit = OP' . Therefore, the firm is earning more and incurring a lesser cost. In this case, the per unit profit is

$$OP - OP' = PP'$$

Also, the total profit earned by the monopolist is $PP'BA$.

Losses

A firm earns losses when the average cost of production is higher than the average revenue for the corresponding output.



In the figure above, you can see that the average cost curve lies above the average revenue curve for the same quantity. The average revenue = OP and the average cost = OP' . Therefore, the firm is incurring an average loss of PP' and the total loss is $PP'BA$. In the short-run, a monopolist sometimes sets a lower price and incurs losses to keep new firms away.

6.5.10 Monopolistic Competition

Monopolistic competition describes a scenario in which multiple companies compete by selling products that are different from each other and therefore not perfect substitutes. Product differentiation can be due to brand, product quality, location, or marketing strategy. Monopolistic competition describes an industry in which multiple companies offer products or services that are similar (but not perfect) substitutes.

Monopolistic competition is a type of market structure where many companies are present in an industry, and they produce similar but differentiated products. None of the companies enjoy a monopoly, and each company operates independently without regard to the actions of other companies.

Characteristics of Monopolistic Competition

1. A Large number of sellers and buyers: There are a large number of buyers in the market. All buyers have their unique preferences. These buyers are divided into selling companies based on their preferences. For example, different companies sell shampoos to wash hair. Each company advertises its shampoo based on its unique properties, such as a dandruff-controlling shampoo, a root-strengthening shampoo, etc. Buyers buy these shampoos based on their needs.

2. Different prices of products: For example, a leather jacket made by the PUMA brand can cost up to \$400, while a good locally produced leather jacket can cost less than \$50. Therefore, in monopolistic competition, the same product can have different prices.

3. Seller control over the Price of the Product, but not over the Market: A seller has control over the price of the products produced by his company. Unlike perfect competition, he is not required to maintain the same as other vendors. For example, the PUMA brand sells its jackets at high prices for its brand name.

4. Product Variation: Product variation is an essential feature of monopolistic competition. For example, different tea brands like Ispahani, TAAZA Tea, Tetley Tea, Tea sell at different prices by promoting different characteristics of the tea.

5. Freedom of Entry and Exit: Take the example of a coffee shop in a shopping mall. People enjoy coffee as long as it provides services to people. But, if one day for some reason the owner of the coffee shop wants to close the business. This won't make a big deal out of the mall coffee business. Initially, people will be surprised and soon move to another nearby coffee shop. Therefore, the entry and exit of a firm from the trading market do not create turbulence as it does in a monopoly market.

6. Incomplete mobility of products: This means that all products are available everywhere, regardless of their origin. For example, in monopolistic competition, it is difficult for companies to change the price of the product by moving it to a different location to sell it. However, companies often move products to a perfectly competitive market.

7. Incomplete knowledge: Organizations use the lack of customer knowledge as a marketing tool. They use advertising to convey any information about their product. The only reason is to maximize sales by attracting more customers.

8. More elastic demand: The demand for the products varies according to the season and the requirement. As a result, the selling company's revenue generation is not constant and continues to change frequently.

For example, the demand for moisturizers increases during the winter season, while the demand for sunscreen creams increases during the summer season.

9. Advertising: Products are heavily advertised in monopolistic competition. In monopolistic competition, the products produced by different sellers are not the same. They come in different sizes, shapes and different prices. Therefore, sellers need to use advertising to attract customers and promote sales of their products. Due to advertising, each selling company has a different share of the market.

Take the example of an advertisement for bath soap. The sole function of all soaps is to lather and cleanse your body. But the companies assure their buyers that their soaps can perform various functions, such as moisturizing the skin, improving skin radiance, and making skin look younger.

10. Independent decision making: In monopolistic competition, sellers have the right to make important product decisions, such as product size, product size, product color, and product price, independently. For this reason, different companies in the organization sell similar products at different prices.

For example, the price of an Apple smartphone is much higher than the price of a OnePlus smartphone. Both smartphones serve the same basic purpose but are sold at different prices due to their unique features.

11. Competition without a price: In monopolistic competition, there is also non-price competition between different firms. Companies compete with each other based on brand name, features, size, and shape of products. All of these competing features are unpriced features, and the seller's company advertises these features to promote sales. These are also known as imaginary differences. There is no difference between the two products, but buyers are led to believe that there is a difference with the help of advertising.

12. Cost of Transportation: Transportation costs play an important role in monopolistic competition. Similar products are sold at different prices due to the cost of transportation in the mobility of the products. The cost of transportation becomes part of the final price of the product.

6.5.11 Oligopoly Market

An Oligopoly Market is a system of Markets where there are more than one Vendor (or firm) for trading of a particular good but there are very few Vendors. This is imperfect competition as the

decision of one Vendor affects the decision of others in the Market, although the competition is very limited. The main characteristics of this type of Market is the interdependence of the Vendors that urge them to collaborate and compete with each other to control the Market, affecting the demand and supply based on the prices.

Characteristics of Oligopoly Market

Now that the Oligopoly definition is clear, it's time to look at the characteristics of Oligopoly:

Few firms: Under Oligopoly, there are a few large firms although the exact number of firms is undefined. Also, there is severe competition since each firm produces a significant portion of the total output.

Barriers to Entry: Under Oligopoly, a firm can earn super-normal profits in the long run as there are barriers to entry like patents, licenses, control over crucial raw materials, etc. These barriers prevent the entry of new firms into the industry.

Non-Price Competition: Firms try to avoid price competition due to the fear of price wars in Oligopoly and hence depend on non-price methods like advertising, after sales services, warranties, etc. This ensures that firms can influence demand and build brand recognition.

Interdependence: Under Oligopoly, since a few firms hold a significant share in the total output of the industry, each firm is affected by the price and output decisions of rival firms. Therefore, there is a lot of interdependence among firms in an oligopoly. Hence, a firm considers the action and reaction of its competing firms while determining its price and output levels.

Nature of the Product: Under oligopoly, the products of the firms are either homogeneous or differentiated.

Selling Costs: Since firms try to avoid price competition and there is a huge interdependence among firms, selling costs are highly important for competing against rival firms for a larger market share.

No unique pattern of pricing behavior: Under Oligopoly, firms want to act independently and earn maximum profits on one hand and cooperate with rivals to remove uncertainty on the other hand.